auction or by tender. In any case, each member of the chit fund is assured of his turn before the second round starts and any member becomes entitled to get periodic collection again. Chit funds are the Indian versions of 'Rotating Savings and Credit Associations' found across the globe.

Chit fund business is regulated under the Central Act of *Chit Funds Act, 1982* and the Rules framed under this Act by the various State Governments for this purpose. Central Government has not framed any Rules of operation for them. Thus, Registration and Regulation of Chit funds are carried out by *State Governments* under the Rules framed by them. Functionally, Chit funds are included in the definition of Non- Banking Financial Companies by RBI under the sub-head *miscellaneous non-banking company* (MNBC). But RBI has not laid out any separate regulatory framework for them.

Official Definition: As per the Chit Funds Act 1982, chit means 'a transaction whether called *chit, chit fund, chitty, kuri* or by *any other name* by or under which a person enters into an agreement with a specified number of persons that every one of them shall subscribe a certain sum of money (or a certain quantity of *grain* instead) by way of periodical installments over a definite period and that each such subscriber shall, in his turn, as determined by lot or by auction or by tender or in such other manner as may be specified in the chit agreement, be entitled to the prize amount'. A transaction is not a chit, if in such transaction –

(i) Some alone, but not all, of the subscribers get the prize amount without any liability to pay future subscriptions; or

(ii) All the subscribers get the chit amount by turns, with a liability to pay future subscriptions.

Note: The Model Answers have been prepared by consulting a restricted list of references only to make them relevant and useful for the competitive examinations conducted by the various government bodies. Following main references have been consulted: various volumes of ***Economic Survey;*** *various volumes of* ***India*** reference manual; last three volumes of the ***India Development Report.*** Ministerial sources, websites of ***RBI*** and the **Planning Commission.**

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1. The answer given above looks bigger – here, the complete picture has been presented, and the readers are suggested to cut it short as per their requirement – as per the demand of the